ENTITY RESTRUCTURING,

VALUATION & INCENTIVE PLAN

C-Corp Conversion, $5M Equity Raise, Cap Table,
Ownership Structure, and Full Incentive Design

CONFIDENTIAL

Six Peak Capital | LV Construction

Companion Paper to AI Mission Control Business Plan

March 2026

1. Current Entity Structure & Ownership

1.1 Entity Hierarchy

Six Peak Capital is the parent organization. It owns 100% of Six Peak Construction LA LP, which in turn owns two operating GC subsidiaries with separate California licenses:

- LV Construction LLC — market rate multifamily construction
- LV Affordable Construction LP — LIHTC, workforce, and ED1 affordable housing construction

1.2 Six Peak Capital Ownership

Member / Entity	Ownership %	Principal
Steyn Group US Asset Management (Six Peak) LLC	45%	—
Baron Capital Partners LLC	15%	Chris Aiello
Redemption Capital LLC	15%	Robert Kennedy
Grady Lakamp	10%	Grady Lakamp (direct)
615 Holdings LLC	10%	Justin Krueger
Row Run Capital LLC	5%	Rich Littlehale
TOTAL	100%	

2. C-Corp Conversion

Six Peak Construction LA LP converts to Six Peak Construction LA Inc. (Delaware C Corporation) via check-the-box election (Form 8832). Both GC subsidiaries become wholly-owned subs of the C-Corp. GC licenses, contracts, and operations transfer with no disruption. The conversion is tax-free under Section 351.

Reasons for C-Corp: stock issuance for the $5M raise, QSBS eligibility (Section 1202 — potentially tax-free exit up to $15M per shareholder), employee option plan mechanics (ISOs), PE-readiness, and investor familiarity. See companion paper: C-Corp Conversion & QSBS Tax Strategy.

3. Valuation & $5M Equity Raise

3.1 Pre-Money Valuation: $15M

Based on 3–5x multiple on $3.4M average annual operating income ($4.8M over 3 years from the committed $252M pipeline). The $15M valuation reflects the quality of the operation, committed pipeline, experienced team, and the strategic value of the Mission Control initiative. Defensible for both investor negotiation and IRS QSBS gross asset testing.

3.2 Post-Raise Cap Table

Shareholder	Pre-Raise	Post-Raise	Shares	@ $20M	@ $150M Exit
Six Peak Capital (all members)	100%	50%	5,000,000	$10.0M	$75.0M
New Investors ($5M raise)	—	25%	2,500,000	$5.0M	$37.5M
Employee Equity Pool	—	25%	2,500,000	$5.0M	$37.5M
TOTAL	100%	100%	10,000,000	$20.0M	$150.0M

The 25% employee equity pool is carved from Six Peak Capital's 100% pre-raise position (Six Peak goes from 100% to 50%). This pool is established before the investor closing so that employee grants do not dilute the new investors. The pool provides stock options and direct grants for Grady, Aiello, Kennedy (working incentives beyond their Six Peak ownership), and the full team.

3.3 Six Peak Capital's 50% — Proportional to Members

Six Peak Capital's post-raise 50% flows through to its members proportionally:

Member	% of Six Peak	% of C-Corp	Shares	@ $20M	@ $150M Exit
Steyn Group	45%	22.5%	2,250,000	$4.5M	$33.8M
Chris Aiello / Baron Capital	15%	7.5%	750,000	$1.5M	$11.3M
Robert Kennedy / Redemption Capital	15%	7.5%	750,000	$1.5M	$11.3M
Grady Lakamp (direct)	10%	5.0%	500,000	$1.0M	$7.5M
Justin Krueger / 615 Holdings	10%	5.0%	500,000	$1.0M	$7.5M
Rich Littlehale / Row Run Capital	5%	2.5%	250,000	$0.5M	$3.8M
SIX PEAK TOTAL	100%	50.0%	5,000,000	$10.0M	$75.0M

4. The 25% Employee Equity Pool: Design

The employee pool (2,500,000 shares, 25% of the C-Corp) is the primary incentive mechanism for aligning every participant with Mission Control's success. It includes working incentives for the three active partners (Grady, Aiello, Kennedy) IN ADDITION to their Six Peak ownership. This is critical: their Six Peak equity rewards them as owners; their employee pool grants reward them for the day-to-day work of building and deploying Mission Control.

Grady is the most incentivized individual in the pool. He is the CEO running the construction operation, the person whose institutional knowledge Mission Control must capture, and the leader who must drive field adoption across the entire team. His employee pool allocation reflects this.

4.1 Pool Allocation: Working Partners

Name	Pool %	Shares	% of C-Corp	Value @ $150M	Incentive Tied To
Grady Lakamp	**20%**	500,000	5.0%	**$7.5M**	MC deployment milestones, field adoption rates, revenue scaling, PM leverage improvement
Chris Aiello	15%	375,000	3.75%	$5.6M	Capital raised, new project pipeline, investor relationships, development revenue
Robert Kennedy	15%	375,000	3.75%	$5.6M	Capital raised, new project pipeline, investor relationships, development revenue
SUBTOTAL: Partners	**50%**	1,250,000	12.5%	**$18.8M**	

Grady's combined position: 5% via Six Peak ownership + 5.0% from the employee pool = 10.0% total of the C-Corp. At a $150M exit: $7.5M (Six Peak) + $7.5M (pool) = $15.0M total. This makes Grady the most incentivized individual in the company and aligns his interest directly with Mission Control's success.

Aiello and Kennedy each hold: 7.5% via Six Peak + 3.75% from pool = 11.25% total. At $150M: $11.3M + $5.6M = $16.9M each.

Vesting: Working partner pool grants vest over 4 years with a 1-year cliff. Grady's grant includes milestone acceleration: 25% accelerates upon full Mission Control deployment across all active projects.

4.2 Pool Allocation: Senior Corporate

Name	Comp	Pool %	Shares	% C-Corp	@ $150M	Bonus Target
Chris Andresen (CFO)	$250K	3%	75,000	0.75%	$1.1M	15–20% base
Robert Carrega (Controller)	$150K	2%	50,000	0.50%	$750K	15–20% base
Derek Sanders (Dir. Dev)	$250K	2%	50,000	0.50%	$750K	15–25% base
Tom Taggart (BD)	$220K	2%	50,000	0.50%	$750K	15–25% base
Schuyler Dietz (BD)	$115K	1%	25,000	0.25%	$375K	15–25% base
SUBTOTAL		**10%**	250,000	2.50%	**$3.8M**	

All senior corporate grants are ISOs vesting over 4 years with 1-year cliff. Annual bonuses tied to measurable outcomes: CFO's bonus tied to financial automation adoption and close cycle reduction; Controller tied to accounting module metrics; BD tied to new contract generation and billing growth; Sanders tied to development pipeline feeding LV Construction.

4.3 Pool Allocation: Construction Operations

Role / Name	Pool %	Shares	% C-Corp	@ $150M	Additional Incentive
Joe Lakamp (PM)	3%	75,000	0.75%	$1.1M	Profit sharing Tier A + MC adoption bonus
Pedro Rosalas (PM)	2%	50,000	0.50%	$750K	Profit sharing Tier B + MC bonus
Greg Smith (PM)	2%	50,000	0.50%	$750K	Profit sharing Tier B + MC bonus
New PM Hire	1%	25,000	0.25%	$375K	Profit sharing Tier B + MC bonus
Mike Savaikie, Daniel Carrillo, Alex Gottlieb, Nick Donald, Steve Garcia, Logan Terriquez (Sr. Supers)	1% each (3%)	25,000 each	0.25% each	$375K each	Profit sharing Tier C + 50% salary adoption bonus

SUBTOTAL	**11%**	275,000	2.75%	**$4.1M**	

4.4 Pool Allocation: AI Team

Role	Pool %	Shares	% C-Corp	@ $150M	Vesting
Head of AI Operations	**8%**	200,000	2.0%	$3.0M	4-yr, 1-yr cliff + 25% MC milestone acceleration
Construction-AI Translator	3%	75,000	0.75%	$1.1M	Monthly vesting over 18–24 mo engagement
Full-Stack Engineer	3%	75,000	0.75%	$1.1M	4-yr, 1-yr cliff
AI/ML Engineer	3%	75,000	0.75%	$1.1M	4-yr, 1-yr cliff
Process Engineer	1%	25,000	0.25%	$375K	4-yr, 1-yr cliff
Data Engineer (Phase 2)	2%	50,000	0.50%	$750K	4-yr, 1-yr cliff
CV Specialist (Phase 2)	2%	50,000	0.50%	$750K	4-yr, 1-yr cliff
Future AI Hires Reserve	2%	50,000	0.50%	$750K	Reserved for Phase 2+ hires
SUBTOTAL	**24%**	600,000	6.0%	**$9.0M**	

The Head of AI Ops receives the largest individual AI team allocation (8% of pool = 2% of C-Corp). At $150M exit: $3.0M. Combined with $180–250K base salary and profit sharing, this is the package needed to recruit from Procore, Autodesk, or logistics AI companies.

4.5 Pool Allocation: Unallocated Reserve

Category	Pool %	Shares
Working Partners (Grady, Aiello, Kennedy)	50%	1,250,000
Senior Corporate	10%	250,000
Construction Ops	11%	275,000
AI Team	24%	600,000
Unallocated (future hires, promotions, additional grants)	5%	125,000
TOTAL POOL	100%	2,500,000

5. Field Staff Adoption Bonus (50% of Base Salary)

Upon full Mission Control implementation across all active projects, every field staff member (superintendents and field engineers) receives a one-time bonus equal to 50% of their base salary. This is the single largest cash incentive in the plan and rewards the behavioral change that makes Mission Control work: structured daily data capture, mobile app adoption, photo documentation discipline, and process compliance.

Role	Est. Base Salary	50% Adoption Bonus	Timing
Mike Savaikie (Senior Super)	~$130K	$65K	Upon full MC deployment
Daniel Carrillo (Senior Super)	~$130K	$65K	Upon full MC deployment
Alex Gottlieb (Senior Super)	~$120K	$60K	Upon full MC deployment
5 New Hire Supers	~$100–120K each	$50–60K each	Upon full MC deployment
Ivan Delgado, Jonah Dobkin, Carlos Rocha, Devis Tejada (FEs)	~$65–80K each	$33–40K each	Upon full MC deployment
ESTIMATED TOTAL		**$550–750K**	Year 2–3

Funded from operating cash flow, not from the $5M raise. By the time MC is fully deployed (Month 18–24), the incremental margin from MC-enabled efficiency and new projects more than covers this cost. This is an investment in adoption—the field staff's willingness to change how they work every day is what makes Mission Control succeed or fail.

6. Mission Control Profit Sharing Pool

For the long-term 'cash flow forever' outcome, equity alone is not enough—it only pays upon a sale. The Profit Sharing Pool provides annual cash distributions that grow as the company grows, making sustained profitability equally rewarding as an exit.

Funding: 10–15% of operating income above a $4M baseline threshold. Below $4M: no pool. At $8M income: pool = $400–600K. At $15M income: pool = $1.1–1.65M.

Distribution: Annually, in cash, after audited results. Allocated by tier based on role and contribution.

Eligibility: 1 year of service + active MC participation. No buy-in required.

Tier	% of Pool	Participants	Example @ $600K Pool

A: PMs	25%	Joe, Pedro, Greg, new PM (4)	$37K each
B: APMs + Senior Supers	30%	Dorian, Roy, Mike S., Daniel, Alex + new hires (~9)	$20K each
C: Field Engineers + Coordinators	25%	Ivan, Jonah, Carlos, Devis, Kim, Alina + new hires (~8)	$19K each
D: AI Team	20%	Head of AI Ops, engineers (~5–7)	$17–24K each

7. Cash Flow vs. PE Exit: Why Both Work

Outcome	Equity Holders Benefit	Profit Sharing Participants
PE Exit @ $150M+	Equity and options pay out. Grady: $15.0M total. Aiello/Kennedy: $16.9M each. AI team: $9M collective. New investors: $37.5M.	Profit sharing continues until sale. Post-sale: transition or severance.
Cash Flow (no sale)	Quarterly distributions from earnings. At $11M+ net income: $3–5M/year to equity holders. Grady's 10.0% = $330–500K/year in distributions alone.	Pool pays $600K–1.65M/year at scale. PMs: $37–60K/year. Supers: $20–40K. Growing annually.
Hybrid (partial recap)	Partial liquidity for founders/early option holders. Company continues with new capital partner.	Profit sharing unaffected. Participants benefit from both the cash event and ongoing income.

The design is deliberate: equity rewards the exit; profit sharing rewards the cash flow; the adoption bonus rewards the behavioral change. Every participant benefits regardless of which outcome materializes. For most operations staff, the cash flow outcome may be better—compounding annual profit sharing income ($20–60K/year on top of salary, growing each year) versus a one-time payout.

END OF ANALYSIS

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DISCLAIMER: This document is a strategic framework, not legal or tax advice. Entity conversion, stock issuance, option plans, and QSBS eligibility require review by qualified corporate, securities, and tax counsel. Option plans must comply with IRC Section 409A (valuation) and applicable securities laws.